March
2024

highspirit
Commercial Ventures Pvt.Ltd.

CORPORATE PROFILE

High Spirit Commercial Ventures Pvt Ltd.

Company Identity

highspirit
Commercial Ventures Pvt.Ltd.

Pioneers in Backpacks

Strongly supports **Make In India** initiative

Focus on **skill development** and **creation of job opportunities**

Localized sourcing of material and skilled technicians

In-house design team from the best institutions for innovative designs

Cost effective and **durable**

Leadership Team

Tushar Jain
Founder

After completing his schooling from Bihar, Tushar relocated to Mumbai and began his foray into the fabric trading industry. Over time, he ventured into the backpack market, procuring products from market such as Dharavi, Byculla and Govandi, which he sold to retail shops in Gujarat. With growing presence, he eventually extended his reach to other states and ultimately commenced manufacturing backpacks himself in High Spirit.

Shailesh Vora
CFO

A Chartered Accountant by profession, Shailesh has more than three decades of experience in Corporate Finance, Systems and MIS with some of the large and Mid size Corporates. His previous experience includes working with Companies like Shriram Finance, Oberoi Hotels, Manappuram Finance, Muthoot Finance, Muthoot Fincorp, Dainik Bhaskar Group etc.

Krishna Murari
Head - Production

Krishna Murari has an experience of more than two decades in successfully operating large Readymade garment units. He is head for all the production units of the company and also heads the sub- contracting activities of the Company in Bihar. Under his capable leadership, he has nurtured and supported women entrepreneurs as part of the Jeevika project.

Gauri Kulkarni
Head - HR

Retired from Indian Air Force as a Commissioned Officer, Gauri is a competent professional with experience in operations management, strategic planning, security & risk management, administration, personnel management, training and mentoring. A resourceful team leader who can manage sizeable task forces in a structured and disciplined manner.

Sandeep Kaul
GM GT - Sales

A BBA in Retail Operations from Modern Institute of Engineering & Management and a Diploma holder in Chemical Engineer, Sandeep is having Two decades of experience in Baggit, Bagzone Lifstyles, Samsonite South Asia, Safari and Giordano in Key Account Management, Corporate Sales, Retail, Modern Trade, E Commerce and Channel Development. Sandeep heads General Trades Sales for the Company.

- ✓ Started in 2012, High Spirit is the market leader in the budget conscious backpack market in India, selling the products under its registered Brands **"Priority"** and **"Traworld"**.
- ✓ The Company is wholly owned by the Managing Director Mr. Tushar Jain and his family.
- ✓ The product range includes backpacks for school/college, office, travel, hiking, duffle bags, Lunch bag, file bag, soft luggage etc and hard luggage.
- ✓ The Brand is available at over **~3,500** retail touchpoints across General Trade (GT) with **45** Distributors across the Country and **~800** retail touchpoints in Modern Trade (MT) formats with all the leading MT Chains like D'Mart, Reliance, Vishal, V Mart, V2, Bazar Kolkotta, Style Bazar, Metro etc as the customers.
- ✓ The Company has licenses from UTV to produce backpacks featuring **Disney** and **Marvel** Characters. The Company's Muzaffarpur Unit is recognized as an approved audited unit as per the Disney International Labour Standard Group.
- ✓ Strategically located own three states of the art manufacturing units for backpack, duffle bags and soft luggage segments in Bihar with a combined capacity of producing ~3.6 Mn units per annum; additional exclusive contract manufacturing capacity to manufacture ~8.4 Mn units per annum at Bihar, Mumbai and Bangalore. This in totality is the largest manufacturing capacity of the backpack segment in the country.
- ✓ To leverage on the distribution strength and given the strong demand drivers, the Company is also setting up a manufacturing unit for hard luggage.
- ✓ High Spirit is creating massive social impact by promoting women entrepreneurship and creating huge job opportunities in Bihar. So far, the Company has created 42 women entrepreneurs under the Jeevika model and is providing employment to around 3,000 skilled labors in Bihar.
- ✓ The Company's Fatuha Unit has been accorded **Gold Zed MSME Certificate** which is the highest accolade certification issued by the Department of MSME.

Product
Strategy

- ✓ Place a strong emphasis on **modern design aesthetics**, incorporating vibrant colors and youthful constructions to attract a wider audience.
- ✓ Explore the **acquisition of a small premium backpack brands** to diversify our product portfolio and tap into a broader market segment.
- ✓ Strengthen our position in the hard luggage and soft luggage categories by leveraging in-house design and manufacturing capabilities to expedite the **introduction of innovative designs** to the market.

Offline
Strategy

- ✓ **Scale up** our dealer and distributor network to reach a wider offline customer base.
- ✓ Increase number of sales promoters in high- performing modern trade stores to provide **personalized assistance and drive sales.**
- ✓ Continue offering **competitive pricing options** to position our company as the preferred supplier for utility and customized bags among retailers.
- ✓ Explore opportunities to **acquire backpack or luggage brands possessing a CSD** (Canteen Stores Department) license to further bolster our offline presence.

Online
Strategy

- ✓ **Dedicated team** solely focused on e-commerce sales to build a robust presence on popular platforms such as Amazon, Flipkart.
- ✓ **Utilize prominent social media platforms** like Facebook and Instagram to showcase our products, engage with customers, and enhance brand recognition.

1

Large market opportunity currently not targeted by any other organized players

- ✓ Perceptual shift in Tier II & Tier III cities towards luggage being a "fashion statement" than a utilitarian product
- ✓ Aspiration for travel (short or long haul) driven by social media influence, adventure seeking and eye for experience, driving demand for backpacks and luggage

2

Differentiated manufacturing and seamless supply chain

- ✓ A combination of own and exclusive contract manufacturing resulting in seamless product availability; ability to hire and train people at scale unprecedented in this industry
- ✓ Sourcing of raw materials indigenously from manufacturers, ensuring timely availability of raw materials at competitive prices

3

Omnichannel distribution and a meticulously curated product range that resonated with the Demand

- ✓ Diversified product range offering customer a comprehensive selection, catering to their needs and preferences, while fostering business growth and market competitiveness
- ✓ Pan India distribution network with over 45 distributors, ~3,500 GT Touchpoints and MT Footprint across 800+ retail outlets.

4

De-urbanizing India, empowering communities and transforming lives

- ✓ Restricting the migration of skilled labourers by creating employment opportunities in rural India; helping workers stay closer to their hometowns
- ✓ Empowering ~1,500 Women with the help of Bihar Government under the "Jeevika" project

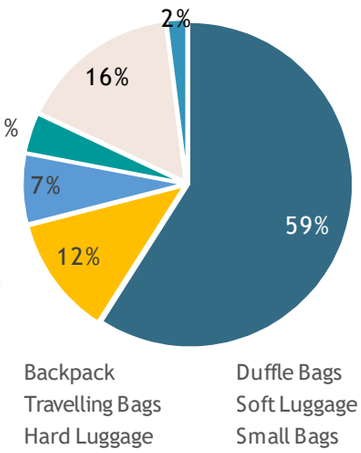
5

Low Capex requirement with high ROCE potential

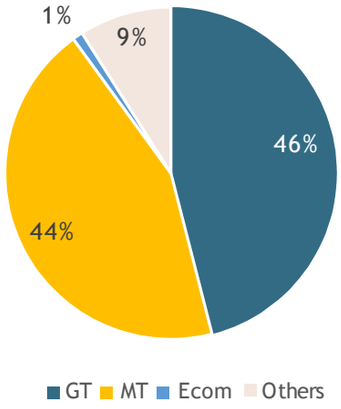
- ✓ Backpack manufacturing is not very Capital intensive. The Company has developed unique contract manufacturing model to scale up the manufacturing capacities.

Numbers at a Glance

Revenue Split- Product Category-wise (FY23)



Revenue Split- Channel-wise (FY23)



+32 Mn
Units sold over last 5 years

3
Own Manufacturing Units

95+
Contract Manufacturers

SKU Count
FY23: 530+
FY24: 600+

MT Touchpoints
FY23: 500
FY28: 1.2k

GT Distributors
FY23: 43
FY28: 70+

GT Touchpoints
FY23: 2.8k+
FY28: 8.2k

8 Modern Trade Customers

Particulars (INR Lakhs)	U.o.M	FY-23
DMart	Nos.	326
V MART	Nos.	423
VISHAL MEGA MART	Nos.	550
METRO Cash & Carry	Nos.	31
Reliance SMART	Nos.	300
TRENDS	Nos.	777
Citykart	Nos.	92
V2 Retail Limited	Nos.	104
Bazaar Retail	Nos.	138
Others	Nos.	500
Total MT Touchpoints	***Nos.***	**3,241**
High Spirit Reach	*Nos.*	500
Penetration	*%*	*15%*
Avg. Revenue / MT Touchpoint	***INR Lakhs***	**18**

- ✓ Modern Trade demands consistent supply and quality, making it challenging for small players to penetrate through this channel
- ✓ High Spirit has established a strong presence in most of the top Modern Trade stores, providing assurance regarding its supply and quality. For example, in DMart's bags section, High Spirit covers **80%of the shelf space**, indicating its status as one of the fastest-moving items in the backpack section
- ✓ In Modern Trade the company has focused on different range of products as compared to General Trade, specifically targeting the economy segment. These products have been meticulously designed and tailored to align with the price point.
- ✓ While Safari, and VIP are strong contenders in the Modern Trade market, they have minimal presence and limited focus on the backpack segment. Most of their backpack products are high-value items typically displayed alongside luggage products
- ✓ Owing to product portfolio expansion and placement of promoters in stores the average revenue per MT touchpoint is slated to grow to INR 30 Lakhs by FY28

- ✓ Diverse array of items to cater to various customer needs & preferences while maintaining high-quality standards across all products ensuring durability and reliability
- ✓ Competitive pricing strategy designed to provide customer with value for money products. This also helps the Company to promote growth and build long lasting relationship with customers.
- ✓ High Spirit will also start manufacturing Lifestyle bags like Purse, Tote Bags etc. from FY25 to reach wider audience
- ✓ Stringent quality control, ensuring every product meets the quality standard before reaching the customer
- ✓ Diversified product portfolio, coupled with great pricing and quality, gives them competitive advantage in the market, enabling access to global consumers
- ✓ Diversified Sales Channels providing continuous Sales opportunities

Product Overview

Backpacks	Travelling Bags	Duffle Bags	Soft Luggage
Hard Luggage	**Small Bags**	**Lifestyle**	**New Products**
			To Launch

Backpacks

Travelling Bags

Duffle & Luggages

Small & Lifestyle Bags

Fatuha Manufacturing Unit

- ✓ Started in December 2022, the Fatuha unit occupies an area of **55,000 sq ft**
- ✓ The unit qualifies for incentives as per the Bihar Industrial Investment Promotion Policy (Textile & Leather Policy)
- ✓ Currently the Fatuha unit **specializes in the production of Backpacks**

- ✓ Established in June 2022, the Muzaffarpur unit is spread across **1,75,000 sq ft**
- ✓ This strategically positioned facility holds significance due to its proximity to East Champaran, which serves as a **labor hub for the bag industry**
- ✓ Along with one Anchor unit of Backpack and one unit of Duffle and Soft Luggage the establishment also consists of **42 micro units** established by women entrepreneurs as the exclusive jobworkers of HSCVPL under the JEEVIKA model, an initiative of the Bihar Government.
- ✓ Muzaffarpur Unit also caters as a mother unit that provides Raw Materials to the East Champaran Contractors and is also responsible for the quality control and collection of finished goods manufactured by these exclusive jobworkers.

	Particulars	Backpacks				Soft Luggage	Hard Luggage	Ladies Hand Bags, Others
		School	College	Work	Travel			
Premium	Samsonite			✓		✓	✓	
Premium	mokobara		✓	✓			✓	
Premium	DELSEY	✓	✓	✓		✓	✓	
Mass Premium	safari	✓	✓			✓	✓	
Mass Premium	VIP	✓	✓	✓	✓	✓	✓	✓
Mass Premium	WILDCRAFT	✓	✓	✓	✓	✓	✓	
Mass Premium	TOMMY HILFIGER	✓	✓	✓		✓	✓	✓
Mass Premium		✓	✓			✓		✓
Value	highspirit	✓	✓	✓	✓	✓	✓	✓

- ✓ While all the players in the market are primarily focused on the premium and mass premium segments, there is currently no company operating at this scale except High Spirit that specifically targets the value/budget segment
- ✓ Unorganized players currently dominate a significant share, accounting for approximately 60-70% of the market. Despite individuals' desire to switch from non-branded to branded products, they face challenges in doing so due to high pricing of branded options.
- ✓ This is precisely where High Spirit has the **Right to Win**, as it offers consumers reasonably priced product while maintaining the reputation and recognition of being a trusted Brand

Women Empowerment

- The manufacturing unit at Muzaffarpur operates under the social development initiative "Jeevika model," also called the Bihar Rural Livelihoods Project
- The primary goal is to uplift rural communities by alleviating poverty and enhancing livelihoods through women empowerment and self-help groups
- Prior to employment in these units, employees undergo training provided by the Skill Development Unit, a government entity in Bihar

IMPACT

- **42** Women entrepreneurs
- **24** Machines per entrepreneur
- **1008** Operational machines
- **1.4k+** Women employed under JEEVIKA

De-urbanizationand enabling the local economic ecosystem

- Most of the labourers in the bag industry belong to East Champaran, Bihar and during Covid, these labourers started moving back to their homes and did not return, which significantly impacted the production of the Company
- The management saw this as a blessing in disguise and shifted their manufacturing base to Bihar to ensure seamless availability of skilled labour
- This resulted in large scale employment opportunities in the state of Bihar, for which the Company has won several accolades from the state government
- This also provides labourers with an opportunity to stay closer to their homes / families and also reduces their cost of living significantly

Jeevika Model

- ✓ The Jeevika (Jeevan Vikas Kendra) model is a pioneering initiative aimed at promoting rural livelihoods and empowering women in the Indian state of Bihar. It was launched in 2006 with the support of the World Bank and other development partners, as part of Bihar's broader strategy for poverty reduction and inclusive growth.

- ✓ The primary objective of the Jeevika model is to enhance the socio-economic status of rural households, particularly those belonging to marginalized communities, by creating sustainable livelihood opportunities and building their capacity to participate effectively in the local economy. The program focuses on empowering women by enabling them to take leadership roles in various economic activities and community development.

- ✓ High Spirit employs over **2,500 local workers and under the Jeevika model**, has **empowered over 39 female entrepreneurs**. This we believe truly addresses not only women empowerment, but many more social causes including the following:
  - ✓ Rural employment generation
  - ✓ Reducing migration to urban centers for employment
  - ✓ Enabling families to be together by restricting migration
  - ✓ Holistic living in the village they reside in as distance between the place of work and place of residence is reduced considerably - safe and hygienic transport between work and stay is also provided by High Spirit
  - ✓ Access to basic healthcare and childcare such as crèche facility and doctor on call

- ✓ Over the years, High Spirit has received recognition for its impact in transforming the lives of rural communities in Bihar. It has been successful in reducing poverty, improving livelihoods, and empowering women, making it a noteworthy example of a development initiative focused on grassroots-level transformation.

Step 1	Step 2	Step 3	Step 4	Step 5	Step 6
Tech Pack	Pattern Making + Sampling	Coating + Order Placement	Material Preparation	Cutting	Sewing + Finishing
✓ A technical package is the blueprint of a product. The purpose of a tech pack is to show a factory how to manufacture the same ✓ This document describes the bag's materials, size, shape, and dimensions in minute detail	✓ Using the tech pack as a guide, factory workers in the sample room will create digital cut and sew patterns of the bag. The patterns are then sent to a Plot & Cut machine, which makes a physical copy of each component	✓ Production cost is then estimated after the sample is made. This production quote is based on labor, material consumption and order quantity	✓ All specialty fabrics and trims are sourced. Buckles, buttons, zippers and other components are also ordered to the factory	✓ The paper patterns that were created on the Plot & Cut machine are laid out on the fabric. Fabric is either cut manually or by a laser cutter ✓ Embellishments like screen printing or embroidery are also added at this stage	✓ Once the fabric is cut and prepped, the sewing process begins ✓ Specific machines are used at various stages of assembly ✓ A final review is conducted to make sure the bags meet the quality standards

Govt.'s emphasis on primary education, resulting in schools opening in cities in tier 3 and below

- The substantial increase in student enrolments, with over 15 lakh schools and a staggering population of **26.5 crore students**, has generated a significant demand for school bags

Shift from utility to fashion accessory (more applicable for college students and young professionals)

- **Shorter Replacement Cycle**: Backpack industry witnessed a shift from a 4- year replacement cycle to just 2 years due to increased design diversity
- Backpack market projected to grow at a CAGR of over 4% during 2023-2029

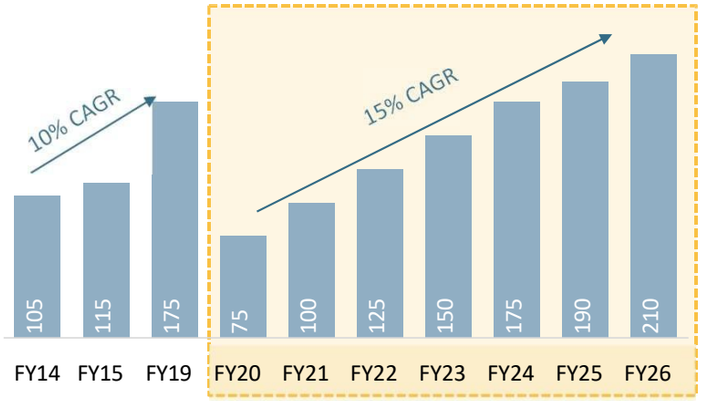
Rise of Modern Trade channels and deeper penetration of e-commerce

- With an impressive **8% volume growth** in June 2022, Modern Trade represents 10% of India's retail market, amounting to a massive **$20 billion market**
- India's e-commerce sector is set to reach **$111 billion** by 2025, growing at a remarkable **CAGR of 19.24%**, fueled by the key drivers of grocery and fashion/apparel segments

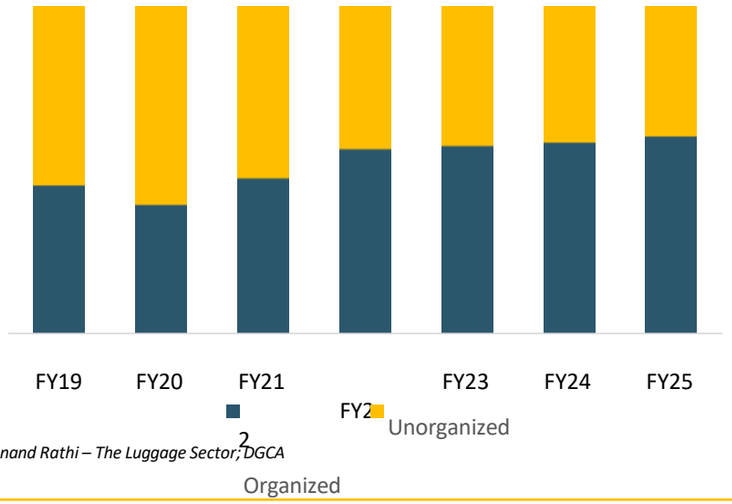
Increasing spend on leisure travel, especially on short trips/weekend getaways

- In 2022, **61%** of Indians preferred exploring domestic destinations, while **25%** express a desire for both international and domestic trips
- The online travel market is expected to grow at a 10% CAGR, reaching **$25 billion** by 2027. This growth reflects the increasing demand for travel services

Luggage Market Size Growth (INR Bn)



Luggage Sector Market Split



Source: Anand Rathi – The Luggage Sector, DGCA

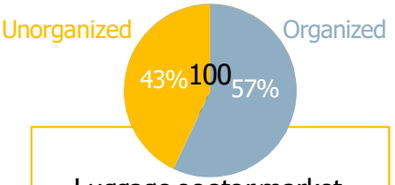
- ✓ The now ~Rs 100 Bn Indian luggage and backpack segment registered a 14.2% CAGR over FY15-FY19 (pre-pandemic) and is set to clock a ~**15%CAGR** going ahead, almost doubling the market size from the Covid-19 year
- ✓ Factors like **increased travel, a surge in weddings, demand from Indian Consumer, and changing behavior** - with every individual preferring to have their own luggage contributed to this growth spurt
- ✓ The sector is at inflection point of growth - while the domestic demand continues to rise, India has an opportunity to become the next hub for luggage exports due to the '*China Plus One*' Strategy

100 Billion

Indian Luggage and Backpack Market

~15% CAGR

Over the next 3-5 years



Luggage sector market split for CY23

2-4 years

Average replacement cycle for luggage and bags

Brands Operating in the Sector

CARLTON, VIP, Skybags, ARISTOCRAT, safari, Samsonite, DELSEY PARIS, SWISS GEAR, VICTORINOX, mokobara, WILDCRAFT, AMERICAN TOURISTER, TOMMY HILFIGER, Wenger's, uppercase, fastrack, CAPRESE, LAVIE, ESBEDA, HIDESIGN

Category Classification

Category	Companies	Price Point
Premium	Carlton, Samsonite, Delsey, Swiss Gear, Victorinox, Mokobara	₹ 6,000+
Mid - Premium	VIP, Skybags, American Tourister, Wenger, Tommy Hilfiger, Uppercase, Wildcraft	₹ 3,500+
Mass	Aristocrat, Safari, Kamiliant	₹ 1,800+
Backpacks	Skybags, Safari, Wildcraft, American Toruister, Fastrack, Mokobara, Samsonite	₹ 1,000+
Handbags	Caprese, Lavie, Esbeda, Hidesign	₹ 1,500+

Sources: Anand Rathi Report

Peer Comparison

Brands	Offerings	Price
	Premium	
Carlton	Bagpacks, laptop bags, luggage	6,000+
Samsonite	Bagpacks, laptop bags, luggage, duffle bags	11,000+
Delsey	Bagpacks, laptop bags, luggage, duffle bags	7,000+
Swiss Gear	Backpacks, luggage	7,000+
Victorinox	Duffle bags, luggage	22,000+
Mokobara	Backpacks, laptop bags, luggage	6,500+
	Mid-premium / economy	
VIP	Backpacks, laptop bags luggage, duffle bags	3,800+
Skybags	Backpacks, luggage,	3,500+
Wildcraft	Backpacks, luggage,	3,500+
American Tourister	Backpacks. luggage,	4,000+
Tommy Hilfiger	Luggage	3,000+
Wenger	Backpacks, luggage, laptop bags	5,000+
	Mass	
Aristocrat	Luggage	2,000+
Safari	Luggage, backpacks, duffle bags	2,500+
Kamiliant	Luggage	2,000+
	Bagpacks	
Fastrack		2,000+
Wildcraft		1,000+
Skybags		1,000+
American Tourister		1,000+
Mokobara		4,200+
Safari		1,500+
Samsonite		8,000+

- ✓ The luggage and the backpack sector is divided into three main categories: premium, mid-premium and mass.
  - ✓ Premium category starts at INR 6000+, Mid Premium starts at INR 3500+ and those is mass category compete at INR 1800+
  - ✓ The price points for the Brands mentioned in the mass category is considered high for a significant portion of the consumer base
  - ✓ Recognizing this, High Spirit identified an opportunity to serve the mass market with more affordable pricing for both backpack and luggage items. This strategic move enabled them to emerge as a market leader in the value/budget segment
- ✓ Unlike many other companies, High Spirit provides a comprehensive travel solution within the value/budget segment, further distinguishing themselves in this competitive Market

Sr. No	Incentives / Category	Incentive	Capping (In INR)	Policy
1	Capital Investment Subsidy – Micro Capital Investment Subsidy – Small Capital Investment Subsidy – Medium Capital Investment Subsidy – Large Capital Investment Subsidy – Mega	15% of plant and machinery	INR 10 CR	BIIPP (Tex. & leather), 2022
2	Power Tariff Subsidy - Micro Power Tariff Subsidy – Small Power Tariff Subsidy – Medium Power Tariff Subsidy – Large Power Tariff Subsidy – Mega	Subsidy of ₹ 2 per unit (for category A units only)	INR 2.5 Lakhs INR 12 Lakhs INR 35 Lakhs INR 60 Lakhs INR 80 Lakhs	BIIPP (Tex. & leather), 2022
3	Patent Registration (All Eligible Units)	50% of the expenditure incurred up to a maximum of INR 10 Lakh	INR 10 Lakhs per patent	BIIPP (Tex. & leather), 2022
4	Employment Generation Subsidy: Semi-skilled Employment Generation Subsidy: Skilled Employment Generation Subsidy: Highly-skilled	300% of ESI and EPF paid against the employee (for Category A units only)	INR3000/ month INR4000/ month INR5000/ month	BIIPP (Tex. & leather), 2022
5	Freight reimbursement Incentive (only for exports)	30% reimbursement of freight for 5 years	INR 10 Lakhs/year	BIIPP (Tex. & leather), 2016
6	Tax Related Incentives (All Eligible Units)	100% of SGST		
7	Interest Subvention (All Units)	10% (12% for Micro and Small Units)		BIIPP 2016
8	Exemption from Stamp duty / Registration fees	100% exemption of stamp duty/registration fees levied on lease/ sale /transfer of industrial land/shed as also those outside the jurisdiction of Industrial Area Development Authority would be available to all the units only and given only for first time.		
9	Exemption from Land Conversion fees	100% exemption on land conversion fees of agricultural land		
10	Skill Development Subsidy	Skill development subsidy of INR 20,000 per employee or BSDM rates or on actual, whichever is low. All the eligible unit shall have to employ the trained core employee/ staff for a period of at least 1 year. This grant shall be payable only once against the original employees (except the support staff like drivers, guards etc.) who are the domicile of Bihar.		

Particulars (INR Lakhs)	FY-20	FY-21	FY-22	FY-23	FY-24	FY-25	FY-26	FY-27
Net Revenue	19,574	16,924	14,256	20,830	25,075	35,000	50,000	65,000
Other Income	48	60	210	37	51	-	-	-
Total Revenue	**19,622**	**16,984**	**14,465**	**20,868**	**25,126**	**35,000**	**50,000**	**65,000**
Y-o-Y Growth (%)		*-14%*	*-16%*	*46%*	*20%*	*40%*	*43%*	*30%*
EBITDA	**1,092**	**1,348**	**1,260**	**1,587**	**2,035**	**3,418**	**6,750**	**9,100**
EBITDA Margin (%)	*6%*	*8%*	*9%*	*8%*	*8%*	*10%*	*14%*	*14%*
Interest Expenses	914	857	835	1,072	1,075	1,075	900	950
PBT	**63**	**345**	**311**	**412**	**710**	**1,993**	**5,500**	**7,800**
PBT Margin (%)	*0%*	*2%*	*2%*	*2%*	*3%*	*6%*	*11%*	*12%*
Corporate Tax	36	88	86	123	179	501	1,384	1,962
PAT	**27**	**257**	**225**	**289**	**531**	**1,492**	**4,116**	**5,838**
PAT Margin	*0%*	*2%*	*2%*	*1%*	*2%*	*4%*	*8%*	*9%*

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